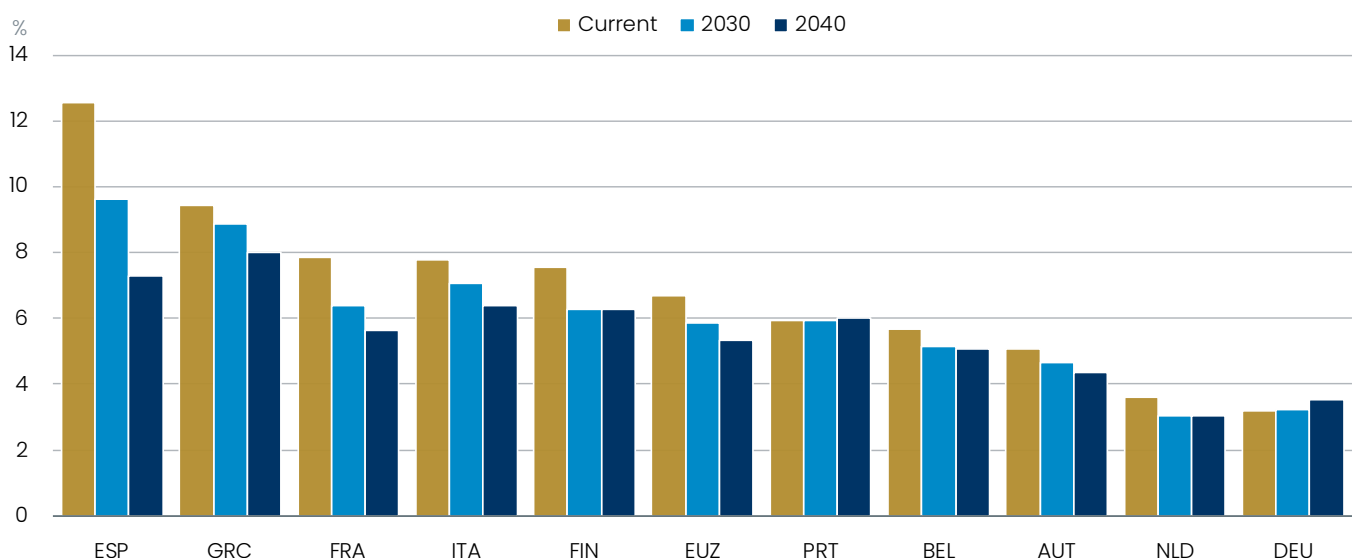


The untapped potential in labour markets

- Despite some softening related to the Middle East conflict and demographic headwinds, the Eurozone labour market still looks tight across a broad set of indicators. This is fuelling concerns about the scope for further employment gains without triggering wage pressures.
- However, our modelling suggests that most of the decline in the Eurozone unemployment rate – to a historic low in March – reflects structural improvements rather than a purely cyclical overshoot. This implies that the labour market still has room to support domestic demand without generating undue inflation pressures.
- We think rising education levels, strong investment growth, and a shift to more knowledge-intensive sectors should support further structural tightening in the Eurozone labour market. We estimate this will cause a 1.3ppts fall in the structural unemployment rate and lift potential output by around 1% over the long run.
- Spain stands out as the biggest beneficiary: its NAIRU has the most room to fall, and our modelling flags it as a notable outlier where structural unemployment may be temporarily inflated. More broadly, South Europe's growth edge over core economies should persist, although we don't anticipate a full catch-up.
- AI is the main risk to our view. Higher productivity could ultimately lift incomes and labour demand, but automation may displace routine-intensive workers faster than the market can absorb them, although we still consider unlikely extremes scenarios.

Chart 1: Our analysis suggests the unemployment rate may fall further

Eurozone: NAIRU forecast



Sources: Oxford Economics, Haver Analytics

Against the backdrop of rising inflation weighing on purchasing power, much of the Eurozone outlook hangs crucially on a resilient labour market that is keeping consumer spending afloat. We argued in a [recent report](#) that the Eurozone labour market is well positioned to withstand the supply shock from the US-Israel war with Iran. That's partly because we think that the resilience of the labour market in recent years isn't only a cyclical feature. Indeed, a key takeaway from our analysis is that the solid labour market performance recently reflects structural improvement, particularly in Southern European economies previously marked by high unemployment.

Although the Eurozone labour market now looks tight on most metrics, our analysis suggests there are still pockets of untapped potential, so most unemployment rates could fall further over the long-term without causing undue wage and inflation pressure. Our forecasts look particularly positive for South Europe, with Spain the most notable example.

We think rising education levels, strong investment growth, and a shift to more knowledge-intensive sectors should support a further structural tightening of the Eurozone labour market. We estimate this will lift potential output by around 1% over the long run.

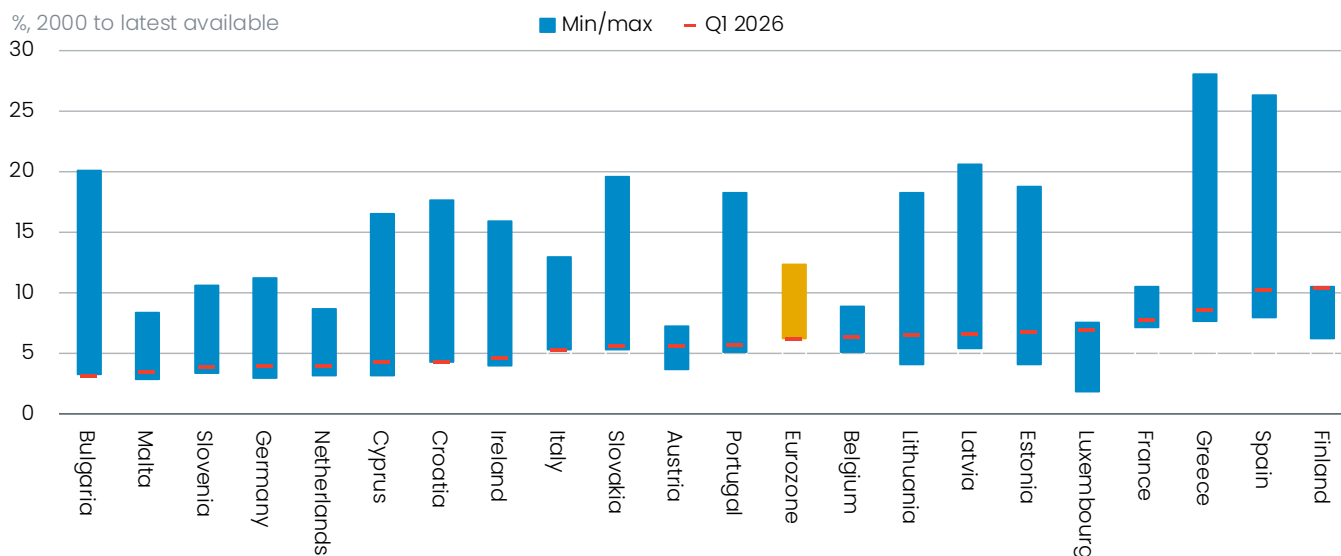
Still some untapped potential despite strong labour market improvement

A record low in the Eurozone unemployment rate of 6.2% in March suggests the labour market is currently tight ([Chart 2](#)). This begs the question of whether recent solid performance can continue on a sustainable manner and without triggering wage pressures. Of course, the unemployment rate is a rather imperfect measure as it can be low for positive or negative reasons. But a broader set of labour market indicators reinforce the positive aspects.

Chart 2: Eurozone unemployment rates are generally close to multi-decade lows

Eurozone: Unemployment rate

%, 2000 to latest available



Sources: Oxford Economics, Haver Analytics

Beyond a low headline unemployment rate, long-term unemployment and underemployment (i.e. part-time workers who would like more hours) are also at record or near-record lows. Solid progress in key measures of labour utilisation, such as prime age employment and the participation rate, also suggest the Eurozone economy has become more effective at utilising the available workforce.

Education gaps also appear lower than before, highlighted by a low unemployment rate among individuals with low education levels, while more than 40% of individuals in employment have tertiary education. However,

progress has been slower on part-time and temporary employment. Despite declines in recent years, gains have been modest, suggesting some labour market rigidities persist.

To complement our reading at an aggregate Eurozone level, we have constructed a composite labour market signal that compares each country's performance across a range of 14 indicators (see [Appendix 1](#) for details on variables and methodology). The signal aims to highlight where untapped potential may lie, which could indicate where further labour market tightening is more likely to emerge. Our signal can also identify relative strengths and weaknesses for each country.

According to our signal, Italy, Spain, and Greece still appear to have untapped potential despite all three (along with Portugal) driving much of the recent growth in Eurozone employment ([Chart 3](#)). Labour supply utilisation is much lower in Italy than in other Eurozone countries, given quite low overall and female employment rates and the lowest participation rate by some margin. The main weakness for Spain is labour market slack, which is unsurprising given it has the highest unemployment rate across the whole Eurozone and the second-highest rate of long-term unemployment. Meanwhile, France has also a relative low score, though that's largely explained by weak growth on measures of labour costs. While this might indicate a less tight labour market, it also suggests the rationale for France's low relative score is somewhat different to that Italy, Spain and Greece.

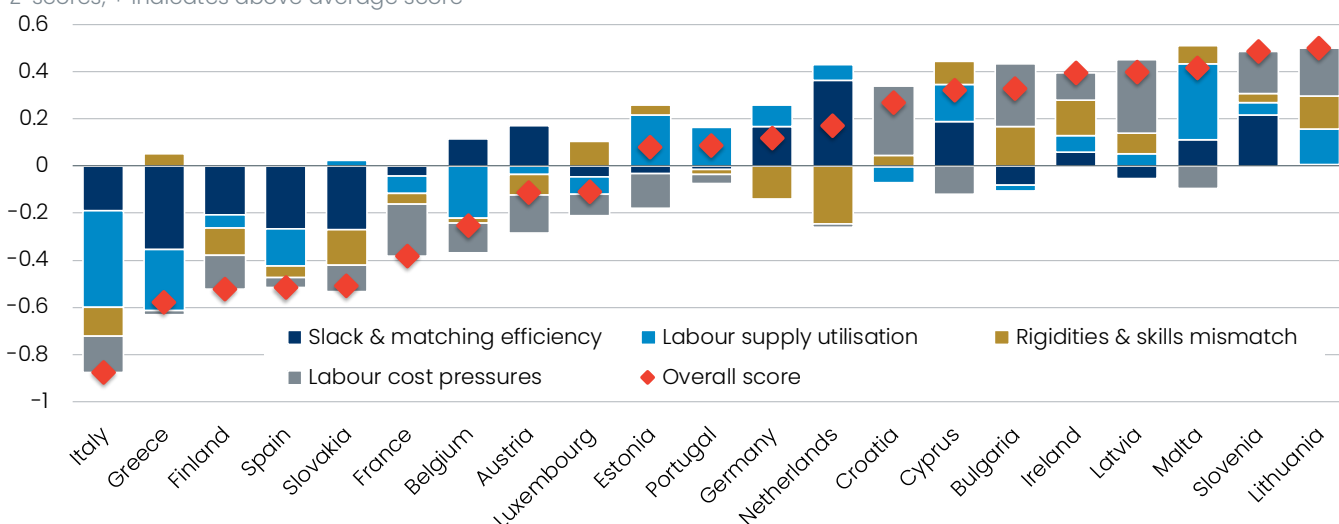
For Germany, one of the economies with higher-than-average tightness, one area it still compares poorly on is rigidities and skills mismatch. This is explained by the relatively low rate of workers with tertiary education – in particular, the high shares of part time and temporary employment. These two categories also drag on the Netherlands measure of tightness, given the scope to increase average hours per worker.

Our analysis also suggests relative labour market tightness is greater in a group of smaller economies, with labour cost pressures boosting the Baltic economies, while Malta stands out for its high labour supply utilisation, and Slovenia for its low overall and long-term unemployment rates. Finally, the Irish labour market looks tight across all key dimensions.

Chart 3: Our analysis highlights some untapped potential, particularly in South Europe

Eurozone: composite labour market indicator, Q4 2025

Z-scores, + indicates above average score



Sources: Oxford Economics, Haver Analytics

Countries where the unemployment rate still has room to fall sustainably

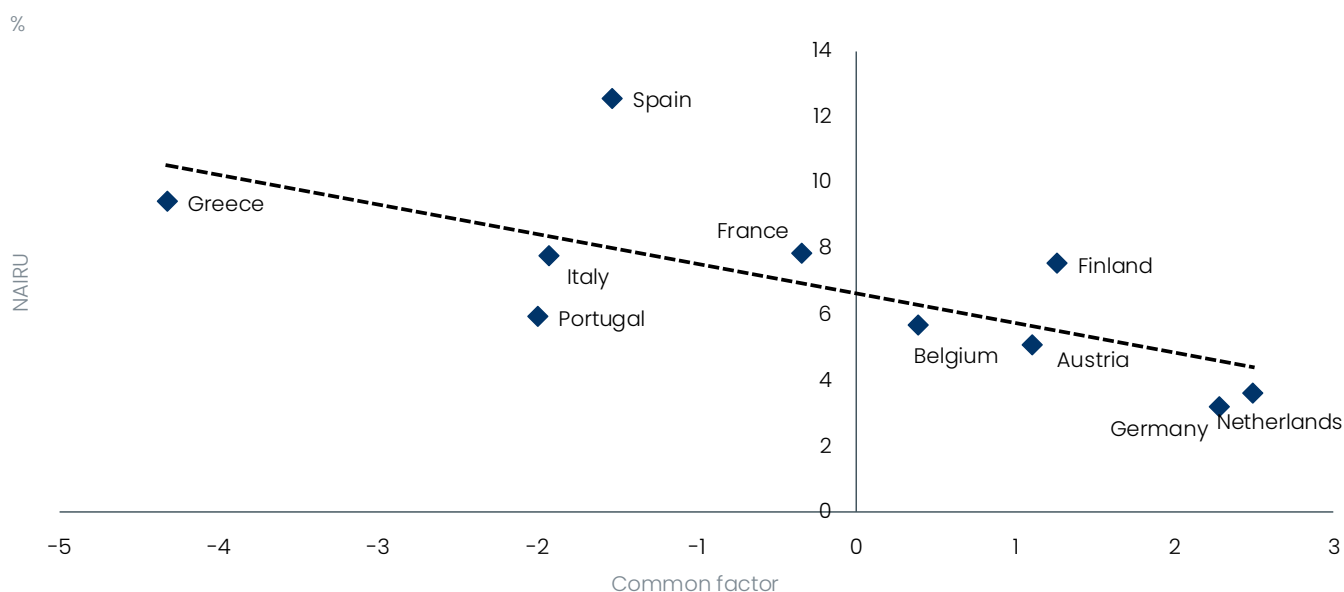
Identifying untapped potential is important in our view, but perhaps an even more important question is whether we can pinpoint where unemployment rates are likely to settle over the long run. The Non-Accelerating Inflation Rate of Unemployment (NAIRU), the unemployment rate consistent with stable inflation, is the most widely used basis for long-term forecasts. However, estimated NAIRUs across Eurozone economies have varied significantly over the past 25 years, shifting in response to reforms, crises, and demographic change.

On balance, we think that most indicators point toward a further reduction in the structural unemployment rate in the coming years. Pinning down the likely magnitude is challenging, however, because the NAIRU is shaped by a wide range of labour market, institutional and macroeconomic factors. What's more, the demographics challenges the Eurozone is facing, namely an aging workforce and slowing population growth, could add a constraint on labour market improvements, although their net impact is uncertain. While potential output can be grounded in a production-function framework, there is no analogous theoretical model for the NAIRU; its estimation therefore relies primarily on econometric techniques, or on fragile Phillips curve-based estimates.

To assess the plausible paths for NAIRUs, we follow a similar approach to the previous section in terms of examining a range of indicators for the 10 largest economies, excluding Ireland (see [Appendix 2](#)). From these variables, we extract a common factor via Principal Component Analysis, with weights and signs derived using econometric techniques and fully in line with economic theory. The common factor shows a good correlation with NAIRUs across most Eurozone economies, but Spain is a notable outlier, suggesting its NAIRU might be temporarily inflated due to country-specific circumstances ([Chart 4](#)).

Chart 4: Spain's NAIRU seems to have potential for a fall

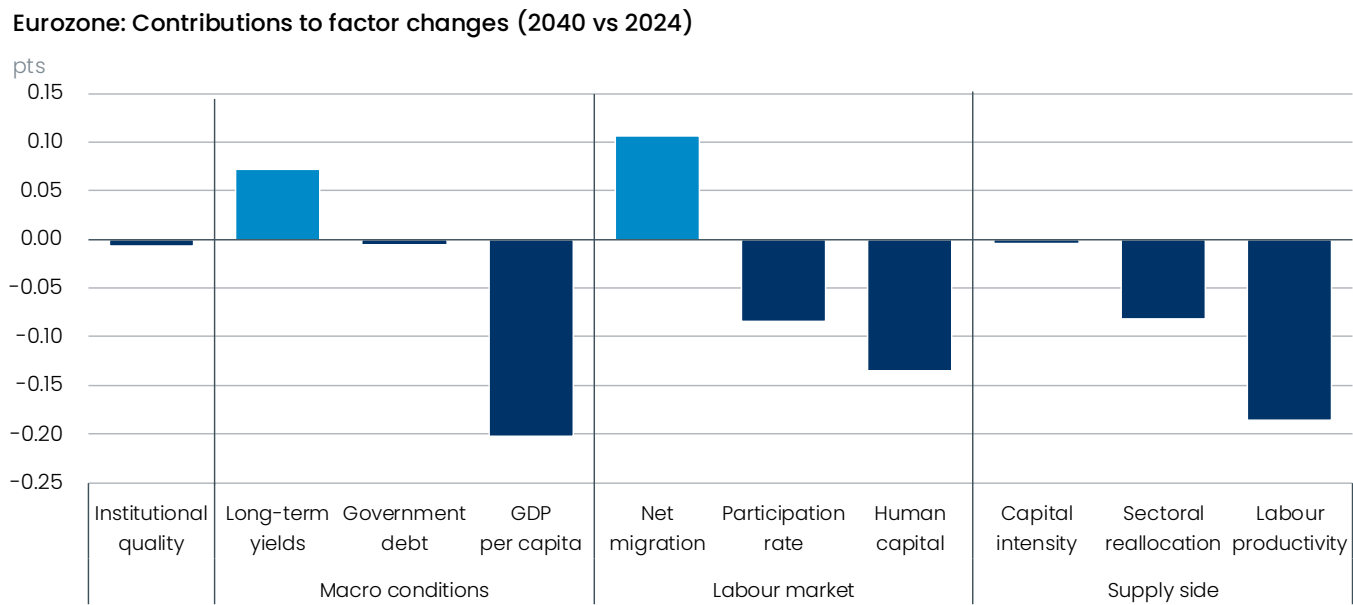
Eurozone: NAIRUs in 2024



Sources: Oxford Economics, Haver Analytics

We then use the common factor extracted to forecast NAIRUs for Eurozone economies over the long run. Our modelling points to further falls in NAIRUs, most pronounced for countries where structural unemployment is currently highest ([Chart 1](#)). The main driver is that our baseline forecast embeds a sustained and broad-based improvement across all four macro categories, i.e. macro conditions, supply-side factors, labour market dynamics, and institutional quality ([Chart 5](#)). Rising real GDP per capita is the single most important factor, reinforced by gains in labour productivity and human capital as the workforce becomes more educated. Sectoral reallocation toward industries associated with lower NAIRUs will also add downside pressure (see [Appendix 3](#)).

Chart 5: Most indicators point toward a fall in NAIRUs in the long term



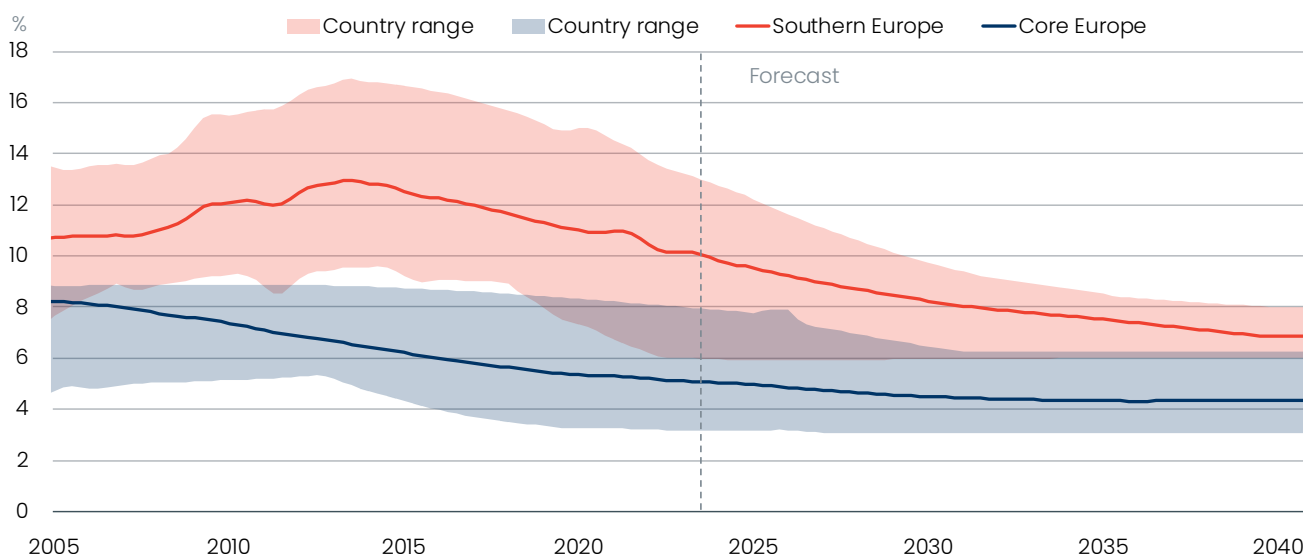
Sources: Oxford Economics, Haver Analytics

As structural unemployment edges lower, replacing workers becomes costlier relative to retaining them, which should tilt firms toward labour hoarding, absorbing temporary margin compression rather than shedding headcount outside of major macro shocks. That, in turn, would dampen the amplitude of employment cycles and make Eurozone labour markets more resilient to moderate downturns. Meanwhile, the ongoing shift toward more knowledge-intensive sectors and rising education levels should underpin solid real wage gains over the medium term, while falling unemployment rates more broadly would favour capital deepening, AI adoption, and incentives to raise hours worked.

At a country level, our forecast points to a more pronounced decline in Southern European NAIRUs of around 2.7ppts, compared with roughly 0.7ppts for core economies. So we could expect the Southern countries labour market outperformance to continue, as the remaining slack will facilitate corporate hiring and investment decisions, without putting undue upward pressure on wages. Still, a sizeable gap between the two blocs is likely to persist, and the Eurozone labour market will remain structurally fragmented ([Chart 6](#)).

Chart 6: The Eurozone labour market will remain fragmented

Eurozone: NAIRU



Sources: Oxford Economics, Haver Analytics

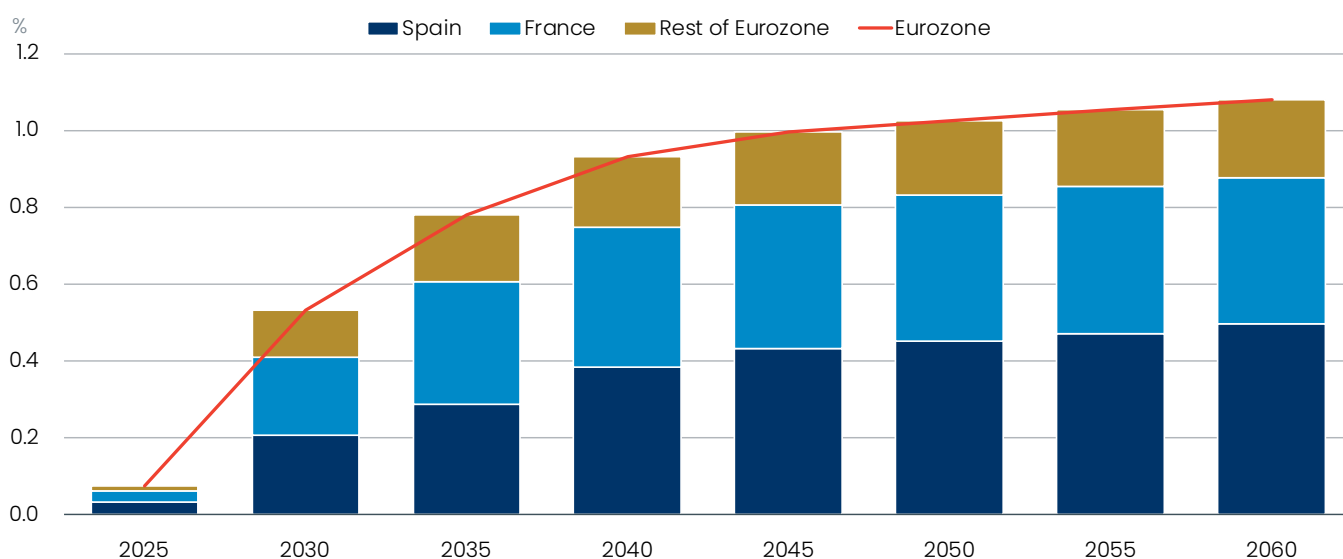
Lower long-term unemployment will lift GDP

Our long-run GDP forecasts are determined by supply factors – the capital stock, labour supply adjusted for human capital, and total factor productivity – in a classic Cobb-Douglas economy. The unemployment rate converges with the NAIRU, and actual GDP with potential, closing the output gap.

We estimate that the structural improvement that we forecast in Eurozone labour markets will contribute to about 1% of potential output in the long run (Chart 7). The biggest improvement is expected in Spain and France compared with current numbers, though almost every country will contribute positively.

Chart 7: Tighter labour market will support growth in the long-term

Eurozone: Potential output increase due to NAIRU falls



Sources: Oxford Economics, Haver Analytics

One possible limitation in our framework is circularity, as the forecast improvement in some variables itself depends on a structurally more efficient and tighter labour market. Rather than implying causation, however, we see this model primarily as a consistency check, ensuring that the NAIRU path we project is coherent with our broader economic baseline.

A significant risk to our forecasts lies in the structural impact of AI on labour markets. Our view since 2023, when LLM use started to spread widely, has been that AI adoption and its impacts are evolutionary rather than revolutionary. In that case, the near-term impact on NAIRUs should be limited, as the gradual adoption of AI is unlikely to cause large-scale displacement in the labour market over our forecast horizon. In the long run, the impact of AI is not clear cut. On the one hand, higher productivity should support real incomes and boost labour demand. The main argument for an increasing impact on NAIRU from AI is that widespread automation could displace workers in routine-intensive occupations faster than the labour market can reallocate them, leading to a persistent structural rise in unemployment. In our view, however, extreme [dystopian scenarios are unlikely](#).

There are also some downside risks in the near-term from a possible deterioration in the labour market that could lead to some hysteresis. But as explained previously, we think the Eurozone labour market is well positioned to withstand the shock from the conflict in the Middle East, and we anticipate only limited increases in unemployment even in the most extreme downside scenarios. For now, we think the chances of a large enough spike in unemployment that could lead to permanently higher unemployment are modest. What's more likely in our view – in line with our baseline forecast – is that the fall in the unemployment rate is paused temporarily.

Box 1: Composite labour market indicator

Our newly created composite labour market indicator uses 14 metrics to highlight underlying labour market tightness and capacity along four dimensions: slack and matching efficiency; labour supply utilisation; rigidities and skills mismatch; and labour cost pressures. [Table 2](#) presents the complete list of indicators, and we look at how each country compares with others in the Eurozone. We compute z-scores for each country and indicator in a manner that a positive reading indicates stronger labour market performance or more tightness.

Finally, we compute sub-indicators for each of the four dimensions by taking the simple arithmetic average of the respective underlying z-scores of the individual indicators and obtain the overall composite indicator by equally weighting the composite z-scores of the four sub-categories.

Table 1: Our new composite indicator of labour market tightness uses 14 metrics

CATEGORY	INDICATOR
Slack & frictions	Unemployment rate, %
	Long-term unemployment rate, %
	Vacancy rate, %
Labour supply utilisation	Employment rate (20–64), %
	Female employment rate (20–64), %
	Participation rate, %
	Underemployment rate, %
Rigidities & skills mismatch	Tertiary attainment rate (25–64), %
	Unemployment rate – low education, %
	Temporary employment rate, %
	Part-time employment rate, %
Labour cost pressures	Unit Labour Costs (ULC), y/y %
	Labour productivity per hour worked, 4-qrt avg. y/y %
	Compensation per employee, y/y %

Source: Oxford Economics

Box 2: Principal component for NAIRU forecast

Although some variables are common with the above list, there are also some differences, given the slightly different questions we pose and the scope of the exercise. Two criteria guided the choice of indicators that underpin our NAIRU forecasts: the availability of a baseline forecast for each variable, and the existence of a statistically significant relationship with the NAIRU in our panel estimates.

Table 2: Indicators and direction of relationship with NAIRU

LABOUR MARKET	SUPPLY SIDE	MACRO CONDITIONS	INSTITUTIONAL QUALITY
Participation rate ↓	Labour productivity ↓	GDP per capita ↓	WB governance indicators ↓
Education ↓	Capital intensity ?	Government debt/GDP ↑	
Net migration ↓	Sectoral reallocation ↓	Long-term gov yields ↑	

Source: Oxford Economics

Box 3: Sectoral reallocation indicator

The sectoral reallocation indicator measures the net balance between high-NAIRU and low-NAIRU sectors. To classify sectors, we estimated a panel regression for each sectoral Gross Value Added across the major Eurozone economies, with NAIRU as the dependent variable. Sectors are then labelled based on the sign and statistical significance of the estimated coefficient.

Table 3: DESCRIPTION

LOW-NAIRU SECTORS	NEUTRAL/UNCERTAIN	HIGH-NAIRU SECTORS
Administrative And Support Services	Construction	Agriculture And Forestry
Communications	Distribution Services	Arts, Entertainment, And Recreation
Health	Education	Hotels And Catering
Manufacturing	Financial Services	Real Estate
Extraction	Public Administration	Other Services
Professional Services		Transport
		Electricity, Gas, Steam & Air-Conditioning Supply
		Water Supply, Waste Management & Remediation

Source: Oxford Economics